

China Semiconductors

Hua Hong Semiconductor Ltd

Rating

Outperform

Price Target

1347.HK

220.00 HKD

688347.CH

370.00 CNY



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Hua Hong 2Q26: GPM recovery boosted by strong demand

Hua Hong released [2Q26](#) earnings on Aug 13th, 2026 with revenue in line but GPM a strong beat, 3Q guidance on GPM beat while rev slightly missed. We think the matured logic upcycle is helping the company to gradually recover their GPM with improving ASP, while capacity expansion and high UT is supporting rev growth. **Maintain Outperform.** We slightly adjusted our [model](#) but maintain the PT unchanged.

2Q26 results and guidance show strong trend on GPM recovery. 2Q26 revenue reached \$717.5m (+26.8% YoY, +8.6% QoQ) and GPM stood at 16.5% (348bps higher QoQ), both beating mgmt guidance. 3Q26 guidance projected revenue of \$770m-\$780m (implying +7% to +9% QoQ). GPM further expanse to 16%-18%. The mgmt agreed that the increased ASP was major revenue contribution (ASP vs. volume was ~60%/40%), and they were confident that the increased ASP can be maintained in the rest of the year.

Consumer demand better than feared. MCU continue to grow fast in 2Q26 and also expect to further contribute to the growth in 3Q26. NOR Flash was growing the fastest, and also expect to be strong next quarter. Consumer electronics demand was better than feared. While consumer IC designers managed to maintain growth by balancing demands among different end markets, these fabless may also want to maintain a certain level of inventory even facing temporary demand shortage, flattening demand fluctuations. We also believe the local vendor share gain in MCU could be another factor to support that foundry demand.

Capacity expansion continues at a steady pace to support future demand. The CEO believed that the demand is clearly going to be solid in 2H26 and 2027, with high chance that the cycle will continue through 2028. As a result, the plan to finish fab 9A ramp up this year and start to ramp up 9B next remain as guided. They still expect to spend about 2bn USD per year in total capex for fab 9B, but we believe if demand continued to be strong, they could accelerate that progress just like they did in fab 9A. Huali fab 5 acquisition was also smooth, and they expect to inject the fab in next quarter's earnings.

Investment Implications

Hua Hong benefits from matured node foundry upcycle; maintain Outperform.

Reported EPS	F25A	F26E	F27E	Financials	F25A	F26E	F27E	CAGR	Valuation Metrics	F25A	F26E	F27E
1347.HK (USD)	0.03	0.14	0.20	Revenues (M)	2,402	3,087	3,916	--	Reported P/E (x)	N/M	922.7	617.5
OLD	--	0.13	0.19	Gross Margin (%)	11.8	17.0	18.9	--				
688347.CH (USD)	0.03	0.14	0.20	Net Income Margin (%)	2.3	7.7	9.1	--				
OLD	--	0.13	0.19									

Source: Bloomberg, Bernstein estimates and analysis.

Close Date	13 Aug 2026
1347.HK Close Price (HKD)	147.20
Price Target (HKD)	220.00
Upside/(Downside)	49%
52-Week Range	219.60/44.66
ASIAx	1,941.23
FYE	Dec
Div Yield	NA
Market Cap (HKD) (M)	327,198
EV (HKD) (M)	43,297
Performance	YTD 1M 6M 12M
Absolute (%)	98.1 (14.2) 49.1 201.9
ASIAx (%)	18.7 2.0 9.4 29.6
Relative (%)	79.4 (16.2) 39.7 172.3
Source: Bloomberg, Bernstein estimates and analysis.	

Price Performance, 1YR



DETAILS

EXHIBIT 1: Hua Hong Grace Semiconductor Limited (1347.HK): Results Review

(US\$M)	2Q26	1Q26	2Q25	QoQ	YoY	Consensus	Guidance (mid point)	Difference vs.	
	Actual	Actual	Actual					Consensus	Guidance
Revenue	717.5	660.9	566.1	8.6%	26.8%	710.1	695.0	1.0%	3.2%
Gross Profit	118.4	86.1	61.6	37.6%	92.2%	105.6	104.3	12.1%	
GPM	16.5%	13.0%	10.9%	348bps	562bps	14.9%	15.0%	163bps	150bps
Operating Profit	9.3	(19.6)	(36.3)	N.M.	N.M.	5.9		58.4%	
OPM	1.3%	-3.0%	-6.4%	426bps	771bps	0.8%		47bps	
Pre-Tax	11.5	(22.0)	(25.7)	-152.3%	-144.8%	17.6		-34.6%	
PBT Margin	1.6%	-3.3%	-4.5%	493bps	614bps	2.5%		-87bps	
Net Income (attributable)	38.6	20.9	8.0	84.6%	385.9%	44.1		-12.3%	
NPM	5.4%	3.2%	1.4%	222bps	398bps	6.2%		-82bps	
EPS (US\$ in cents)	2.2	1.2	0.5	83.3%	340.0%	2.7		-18.5%	

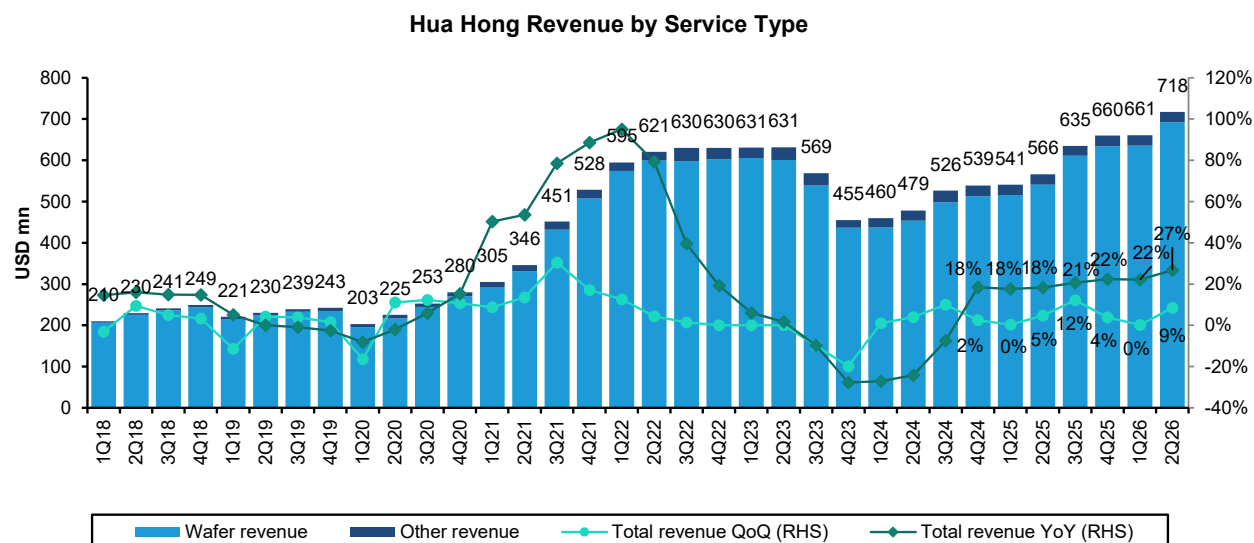
Source: Bloomberg, Company reports, Bernstein analysis

EXHIBIT 2: Hua Hong 3Q26 revenue guidance slightly fell short of consensus, but GPM guidance midpoint is above street consensus

(US\$M)	3Q26	Consensus	Difference vs.	3Q26 QoQ	
	Guidance		Consensus	Guidance	Consensus
Revenue	770~780	803	-4%~-3%	7%~9%	12.0%
Gross Profit	123~140	130	-6%~-8%	4%~19%	10.1%
Gross Margin	16.0%~18.0%	16.2%	-23bps~177bps	-50bps~150bps	-27bps

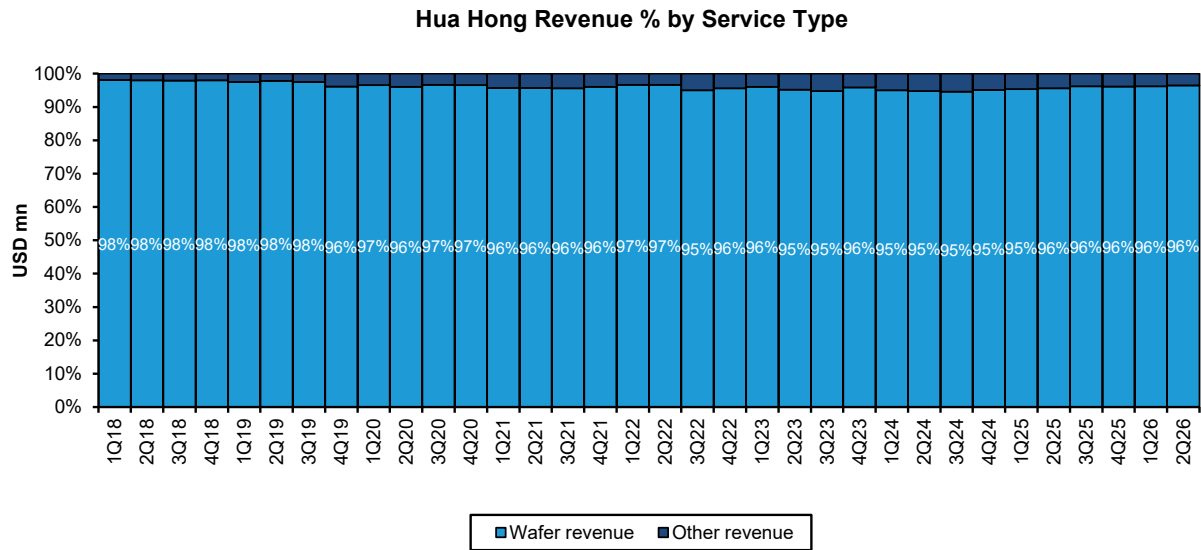
Source: Company reports, Bloomberg, Bernstein analysis

EXHIBIT 3: Hua Hong 2Q26 revenue reached USD 718mn, QoQ +9%



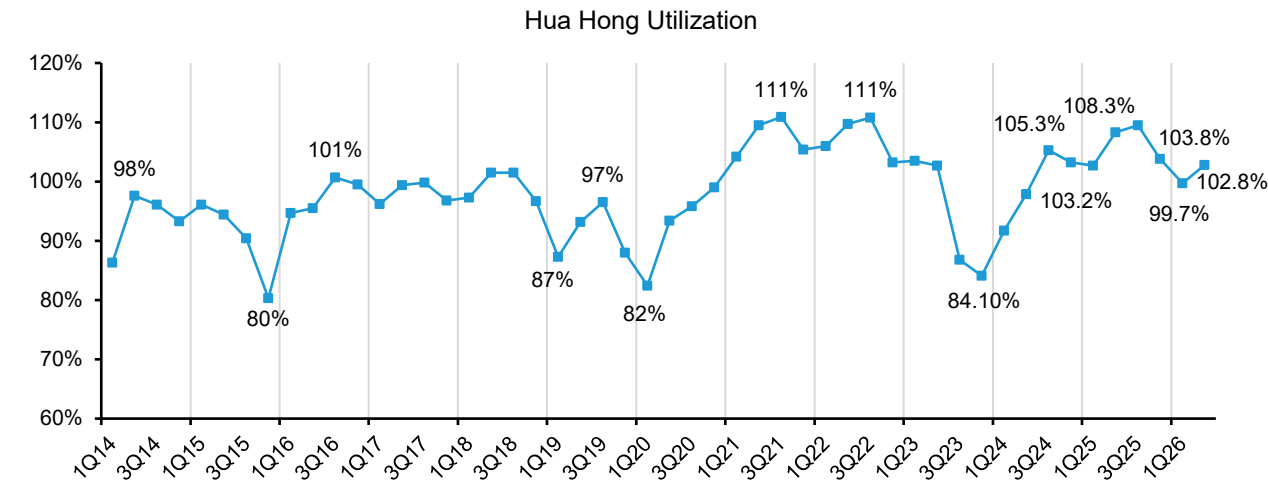
Source: Company reports, Bernstein analysis

EXHIBIT 4: **Wafer revenue stablized at 96% of total revenue in 2Q26**

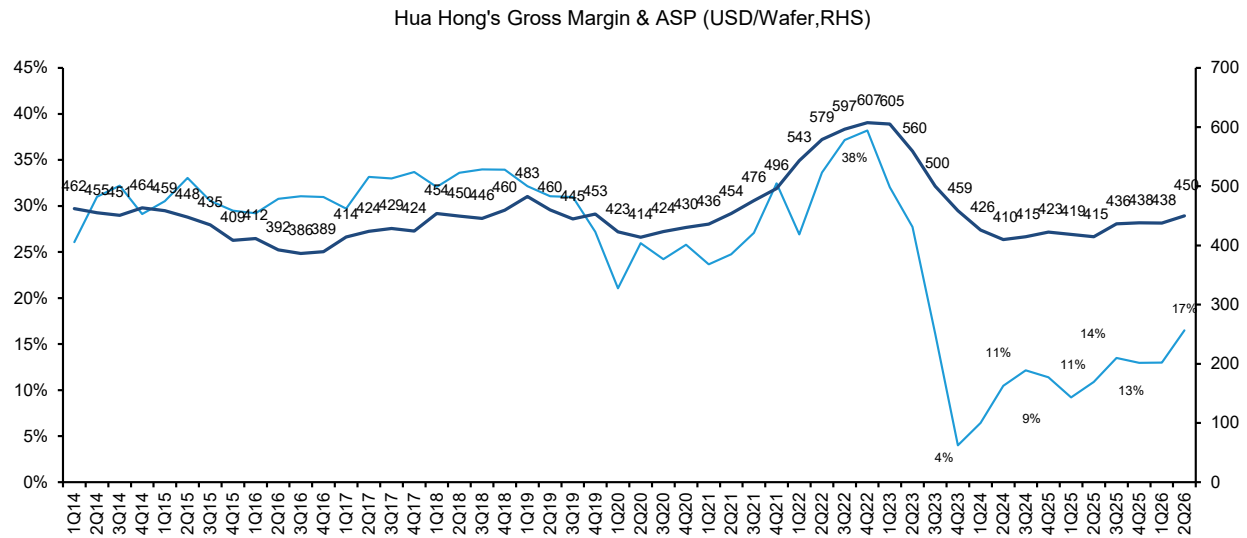


Source: Company reports, Bernstein analysis

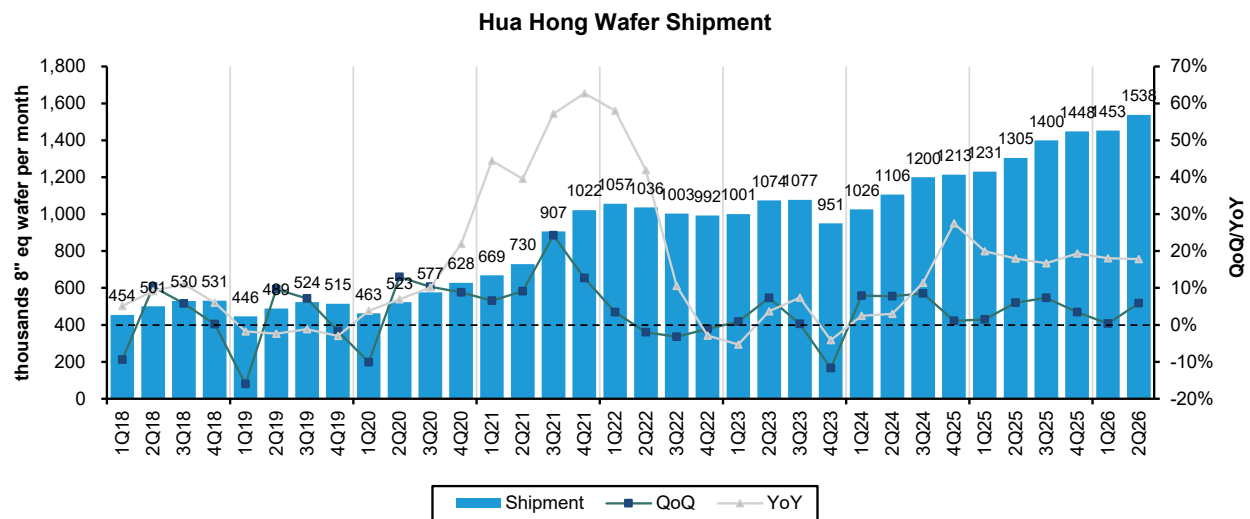
EXHIBIT 5: **Hua Hong's utilization remained at around 100%**



Source: Company reports, Bernstein analysis

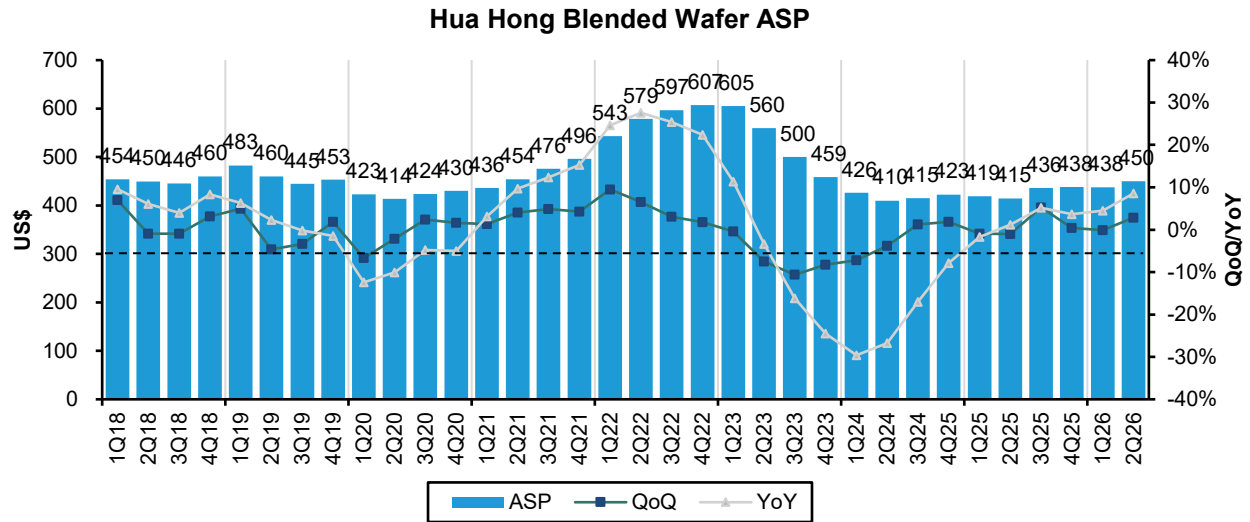
EXHIBIT 6: **2Q26 ASP increased 3% QoQ, and gross margin also increased to 17%**

Source: Company reports, Bernstein analysis

EXHIBIT 7: **Wafer shipment grew 18% YoY & 6% QoQ**

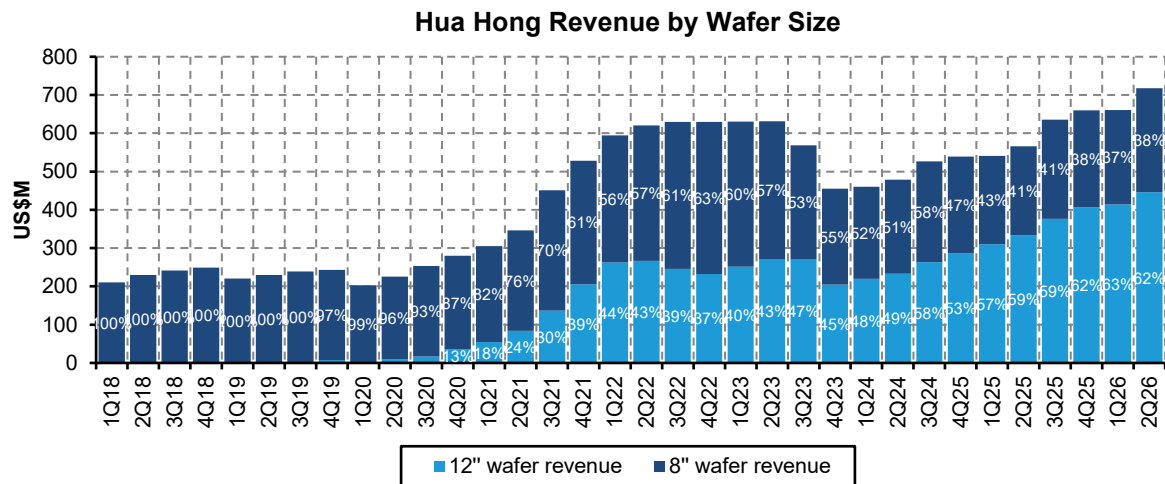
Source: Company reports, Bernstein analysis

EXHIBIT 8: **Hua Hong's ASP grew 9% YoY & 3% QoQ**



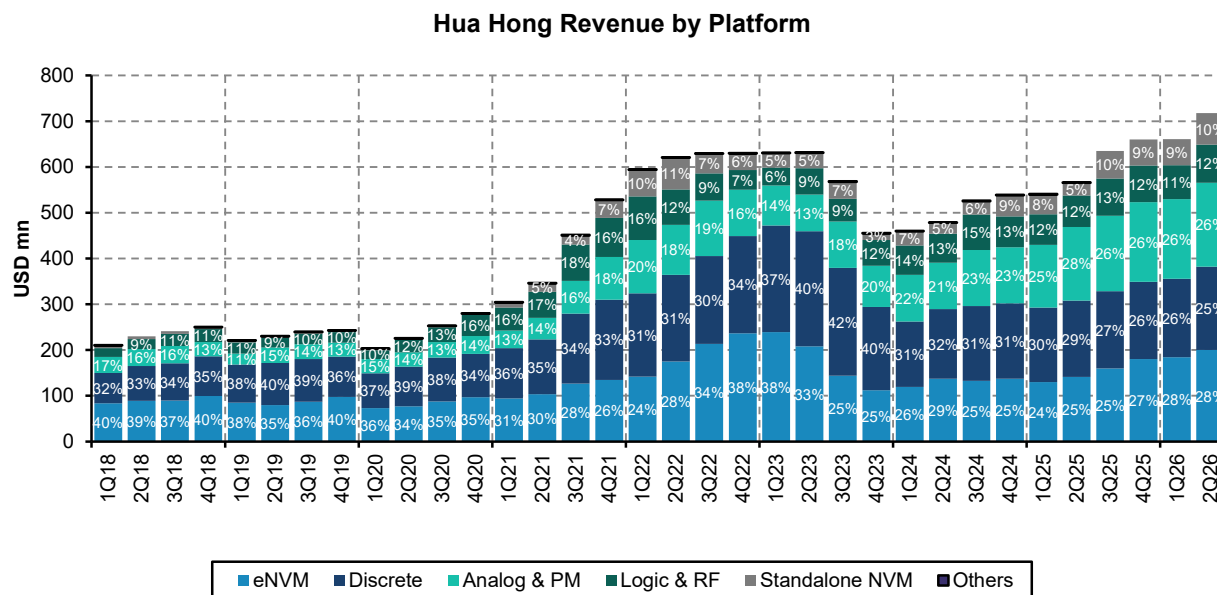
Source: Company reports, Bernstein analysis

EXHIBIT 9: **12 inch revenue contribution was 62% in 2Q26**



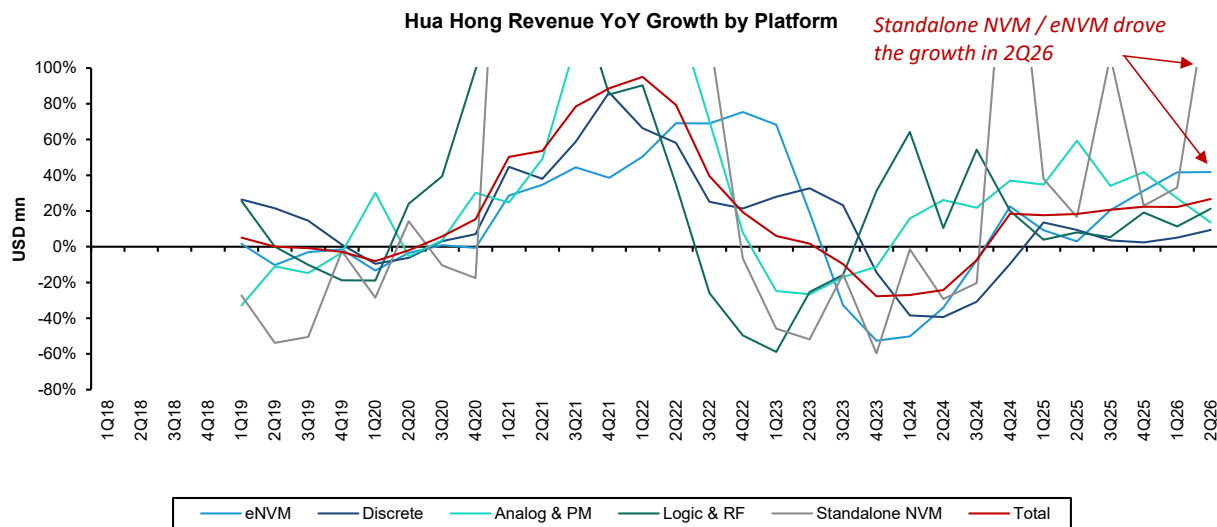
Source: Company reports, Bernstein analysis

EXHIBIT 10: In 2026, the revenue share by application was largely flattish



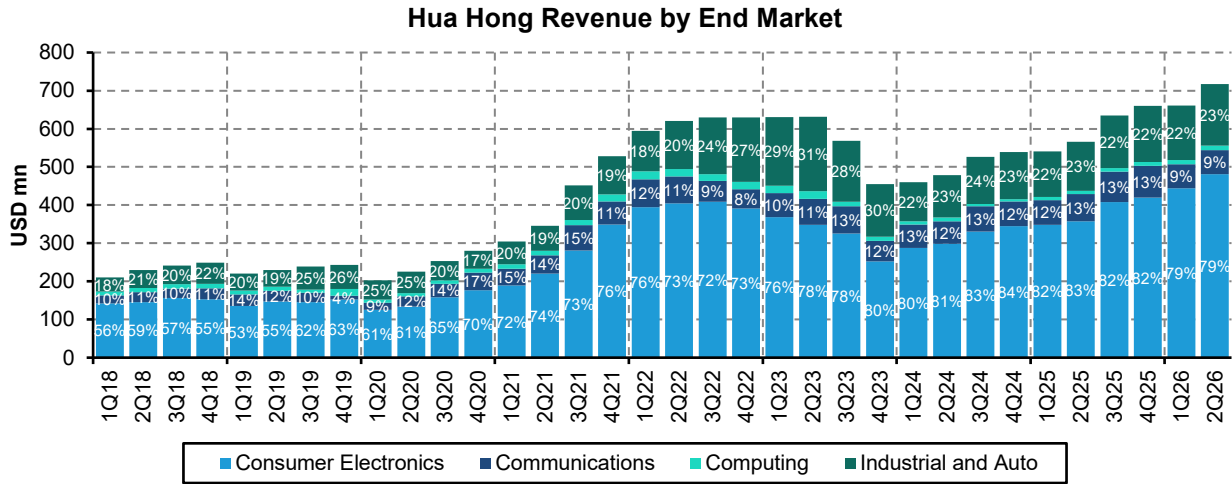
Source: Company reports, Bernstein analysis

EXHIBIT 11: All platforms showed YoY growth in 2Q26, in which eNVM & Standalone NVM platforms drove the overall growth



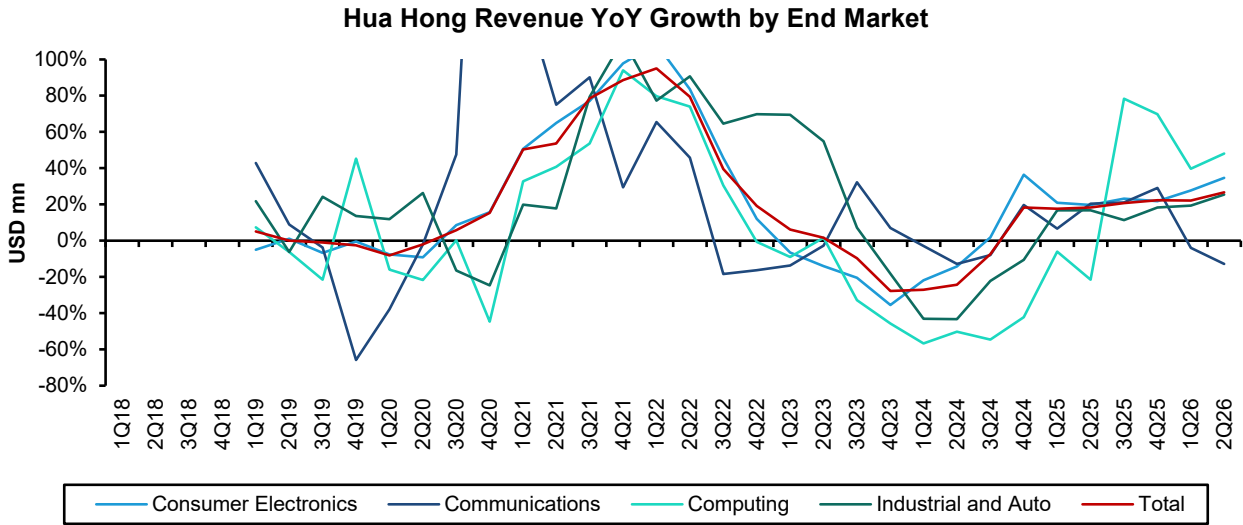
Source: Company reports, Bernstein analysis

EXHIBIT 12: **Share of different end markets remained stable in 2Q26**



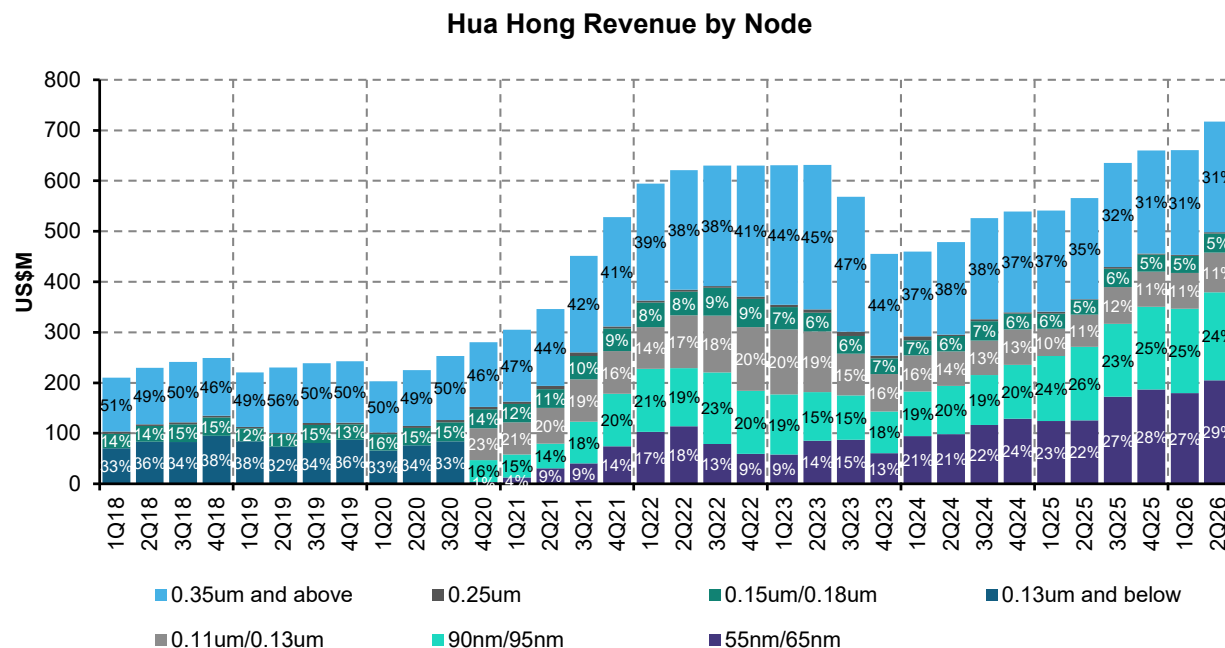
Source: Company reports, Bernstein analysis

EXHIBIT 13: **Computing kept outperforming other end markets in 2Q26, while communications was the only markets decreased**



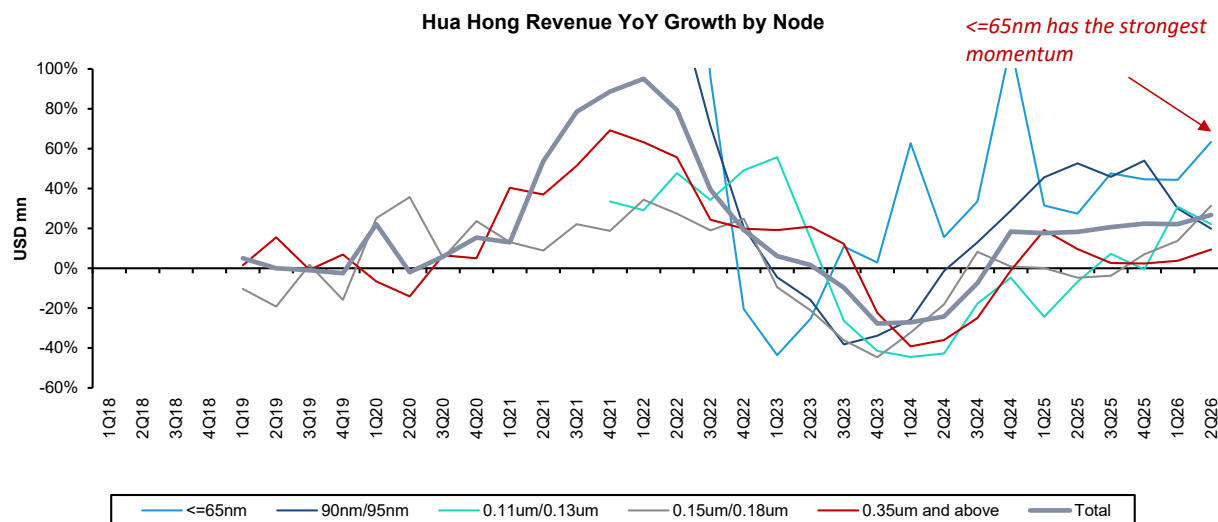
Source: Company reports, Bernstein analysis

EXHIBIT 14: Revenue share by platform remained flattish as well in 2Q26



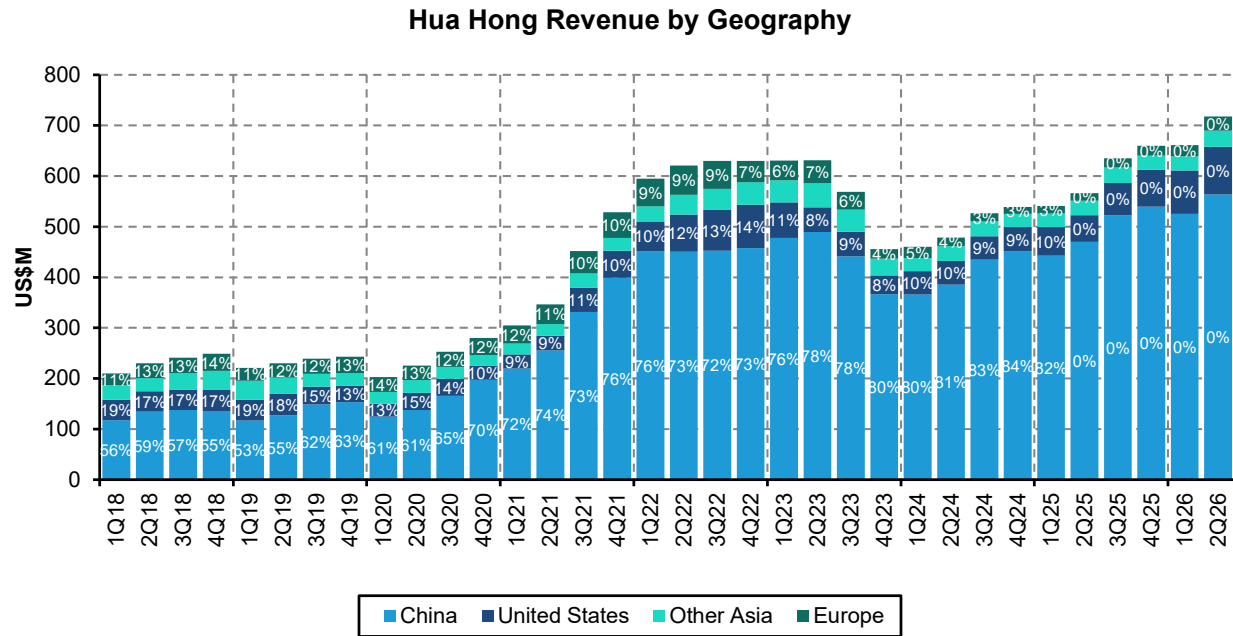
Source: Company reports, Bernstein analysis

EXHIBIT 15: 55nm/65nm has the strongest momentum, corresponding to the strong growth of Memory & Analog



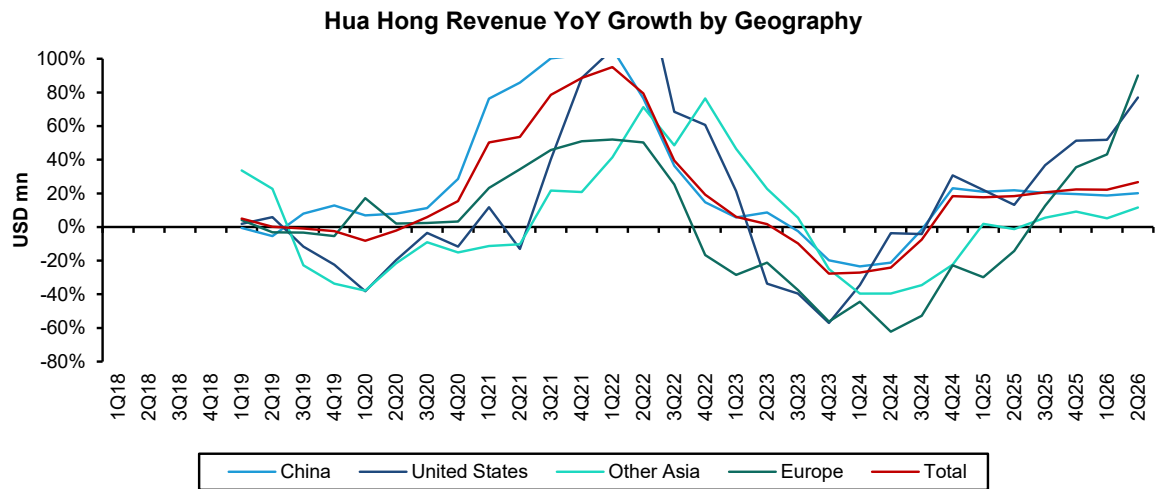
Source: Company reports, Bernstein analysis

EXHIBIT 16: Revenue by geography remained stable in 2Q26



Source: Company reports, Bernstein analysis

EXHIBIT 17: Europe and United States supported growth in 2Q26



Source: Company reports, Bernstein analysis

MODEL UPDATE

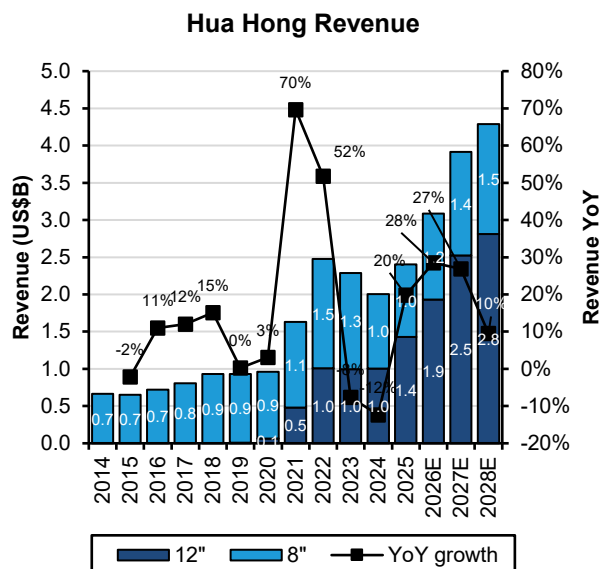
Following on the outperforming results, we updated our company model and future forecasts. To be more specific, strong revenue growth the company achieved in Q2 give us more visibility and confidence for the full year revenue outlook, as well as that in 2027. We slightly revised up our previous top-line forecasts to appreciate the strong demands the company is receiving and capacity expansion efforts they are paying. As for the GPM, we believe the company is capable to maintain the current margin level considering the tight demand and supply relationship in the following years (17%/19%/18% in 2026/27/28 respectively). Sequentially, strong topline performance also provides more flexibility for the company to control the expense, leading slight revise up in OPM compared with previous numbers. All these improvements get us to an improving NPM at the bottom. The detailed company model can be downloaded [here](#).

EXHIBIT 18: **Hua Hong: Bernstein vs. Consensus**

Revenue (USD mn)	2022	2023	2024	2025	2026E	2027E	2028E
Model	2,475	2,286	2,004	2,402	3,087	3,916	4,290
Growth YoY	52%	(8%)	(12%)	20%	28%	27%	10%
Consensus					3,069	3,729	4,304
Growth YoY					28%	22%	15%
vs. consensus					1%	5%	(0%)
Bernstein old					3,077	3,799	4,206
Growth YoY					28%	23%	11%
New vs. Old					0%	3%	2%
Gross profit							
Model	844	487	205	283	524	739	791
GP Margin	34%	21%	10%	12%	17%	19%	18%
Growth YoY	87%	(42%)	(58%)	38%	85%	41%	7%
Consensus					476	678	833
GP Margin					16%	18%	19%
Growth YoY					68%	42%	23%
vs. consensus - GP Margin					146bps	69bps	(94bps)
vs. consensus - GP					10%	9%	(5%)
Bernstein old					474	739	662
GP Margin					15%	19%	15%
Growth YoY					68%	56%	(10%)
New vs. Old - GP Margin					161bps	1bps	300bps
New vs. Old - GP					10%	0%	19%
Operating profit							
Model	565	154	(156)	(143)	92	335	342
OP Margin	23%	7%	(8%)	(6%)	3%	9%	8%
Growth YoY	133%	(73%)	(201%)	(8%)	(164%)	265%	2%
Consensus					30	224	389
OP Margin					1%	6%	9%
Growth YoY					(121%)	649%	74%
vs. consensus - OP Margin					200bps	256bps	(106bps)
vs. consensus - OP					207%	50%	(12%)
Bernstein old					51	278	218
OP Margin					2%	7%	5%
Growth YoY					-136%	445%	-22%
New vs. Old - OP Margin					132bps	145bps	290bps
New vs. Old - OP					80%	20%	57%
Net income attributable to shareholders							
Model	450	280	58	55	238	356	380
NP Margin	18%	12%	3%	2%	8%	9%	9%
Growth YoY	76%	(38%)	(79%)	(6%)	334%	49%	7%
Consensus					214	319	441
NP Margin					7%	8%	10%
Growth YoY					290%	49%	38%
vs. consensus - NP Margin					79bps	94bps	(142bps)
vs. consensus - NP					11%	12%	-14%
Bernstein old					222	328	302
NP Margin					7%	8%	7%
Growth YoY					305%	48%	-8%
New vs. Old - NP Margin					53bps	72bps	182bps
New vs. Old - NP					7%	9%	26%

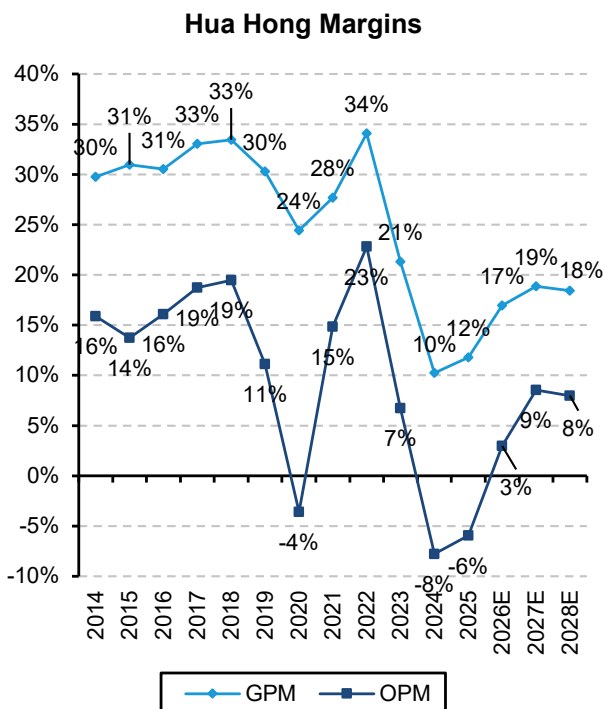
Source: Company reports, Bloomberg, Bernstein estimate and analysis

EXHIBIT 19: **We model Hua Hong to keep revenue at a high level as the expansion in 12" compensates the correction in 8".**



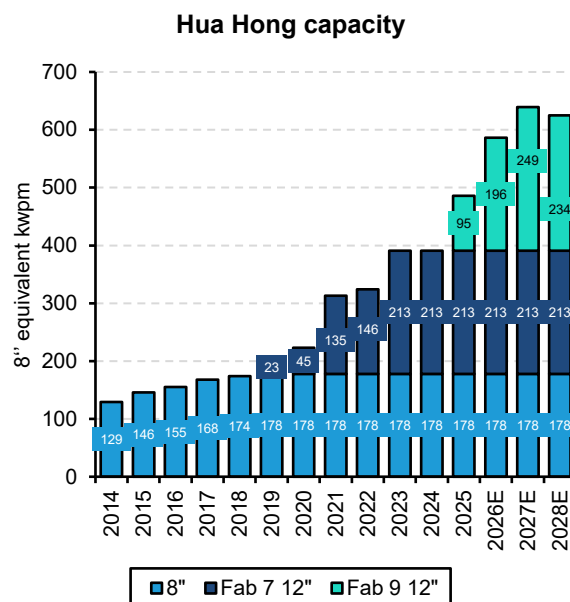
Source: Company reports, Bernstein estimates and analysis

WE :



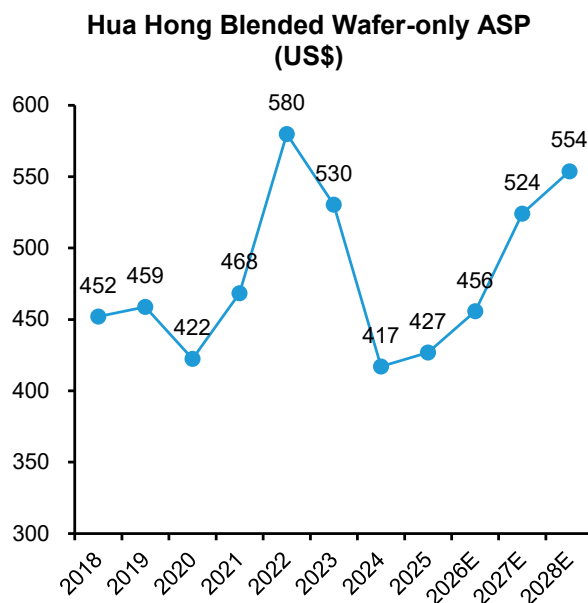
Source: Company reports, Bernstein estimates and analysis

EXHIBIT 20: **We expect the main capacity addition will come from Feb 9 in the following years**



Source: Company reports, Bernstein estimate and analysis

EXHIBIT 21: **We forecast Hua Hong's blended wafer-only ASP will keep growing by 2028**



Source: Company reports, Bernstein estimate and analysis

APPENDIX - FINANCIAL FORECASTS

EXHIBIT 22: Income Statement



Hua Hong Semiconductors Limited (1347.HK) Working Model

USD in Millions	2022	2023	2024	2025	2026E	2027E	2028E
Net Sales	2,475	2,286	2,004	2,402	3,087	3,916	4,290
Gross Profit	844	487	205	283	524	739	791
SG&A Expense	118	138	149	175	181	158	192
R&D Expense	161	195	212	250	251	246	256
EBIT	565	154	(156)	(143)	92	335	342
EBITDA	1,021	654	400	592	1,060	1,440	1,756
Non-operating Income	(68)	20	22	54	(2)	(9)	(33)
Pretax Income	496	174	(134)	(89)	90	326	309
Tax	89	47	7	22	49	68	122
Net Income	407	126	(140)	(111)	41	259	187
Extraordinaries and Minority Interests	(43)	(154)	(198)	(166)	(197)	(98)	(193)
Profit Attributable to Shareholders	450	280	58	55	238	356	380
Earnings Per Share	0.35	0.19	0.03	0.03	0.14	0.20	0.22
# of Shares (Millions)	1,303	1,478	1,717	1,729	1,738	1,738	1,738
Margin Analysis							
Gross Profit	34.1%	21.3%	10.2%	11.8%	17.0%	18.9%	18.4%
EBIT	22.8%	6.7%	-7.8%	-5.9%	3.0%	8.6%	8.0%
EBITDA	41.3%	28.6%	20.0%	24.7%	34.3%	36.8%	40.9%
Pretax Income	20.0%	7.6%	-6.7%	-3.7%	2.9%	8.3%	7.2%
Net Income	16.4%	5.5%	-7.0%	-4.6%	1.3%	6.6%	4.4%

Source: Company reports, Bernstein estimate and analysis

EXHIBIT 23: **Balance Sheet**

Hua Hong Semiconductors Limited (1347.HK) Working Model

USD in Millions	2022	2023	2024	2025	2026E	2027E	2028E
Cash & Cash Equivalents	2,009	5,585	4,459	4,894	5,073	3,581	405
Accounts Receivable	292	279	270	282	463	502	529
Inventories	575	450	467	544	712	799	889
Other Current Assets	197	256	636	886	802	1,153	1,208
Total Current Assets	3,073	6,570	5,833	6,607	7,049	6,035	3,031
Long Term Investments	131	139	140	150	187	194	202
Net PP&E	3,368	3,519	5,859	6,676	7,224	8,935	12,236
Other L-T Assets	481	715	584	1,020	1,335	1,335	1,335
Total Assets	7,053	10,943	12,415	14,454	15,795	16,500	16,805
Short-Term Debts	431	196	286	407	1,911	1,911	1,911
Accounts Payable	234	235	298	330	419	488	535
Other Current Liabilities	714	539	978	1,119	1,361	1,737	1,808
Total Current Liabilities	1,380	970	1,562	1,856	3,691	4,137	4,255
Long-Term Debt	1,496	1,926	1,935	2,803	1,673	1,673	1,673
Other Long-Term Liabilities	41	33	11	631	681	681	681
Total Liabilities	2,917	2,929	3,508	5,290	6,045	6,491	6,609
Shareholders' Equity	3,030	6,301	6,247	6,613	7,315	7,671	8,051
Minority Interest	1,105	1,714	2,660	2,552	2,435	2,337	2,144
Total Liabilities & Shareholders' Equity	7,053	10,943	12,415	14,454	15,795	16,500	16,805

Source: Company reports, Bernstein estimate and analysis

EXHIBIT 24: **Cash Flow Statement**

Hua Hong Semiconductors Limited (1347.HK) Working Model

USD in Millions	2022	2023	2024	2025	2026E	2027E	2028E
Pretax Income	496	174	(134)	(89)	90	326	309
Depreciation & Amortization	457	500	556	735	968	1,105	1,413
Other	(202)	(32)	(3)	4	409	(107)	(185)
Cash Flow From Operations	751	642	419	650	1,467	1,324	1,538
Capex	(996)	(907)	(2,739)	(1,814)	(1,740)	(2,816)	(4,714)
Other	66	73	108	28	93	0	0
Cash Flow From Investments	(930)	(833)	(2,631)	(1,786)	(1,646)	(2,816)	(4,714)
Equity Issued (Buyback)	6	2,942	4	34	3	0	0
Debt Issued (Repaid)	315	193	106	942	375	0	0
Dividends	0	0	(36)	0	0	0	0
Other	351	647	1,077	523	(146)	0	0
Cash Flow From Financing	672	3,782	1,150	1,499	233	0	0
Net Effect of Exchange Rate Changes	(94)	(14)	(64)	71	125	0	0
Net Change in Cash	399	3,576	(1,126)	435	179	(1,492)	(3,176)
Beginning Cash	1,610	2,009	5,585	4,459	4,894	5,073	3,581
Ending Cash	2,009	5,585	4,459	4,894	5,073	3,581	405

Source: Company reports, Bernstein estimate and analysis

BERNSTEIN TICKER TABLE

Ticker	Rating	Cur	13 Aug 2026	Price Target	TTM	Reported EPS				Reported P/E (x)		
			Closing Price		Rel. Perf.	Cur	2025A	2026E	2027E	2025A	2026E	2027E
1347.HK (Hua Hong-H)	O	HKD	147.20	220.00	172.3%	USD	0.03	0.14	0.20	N/M	922.7	617.5
OLD								0.13	0.19			
688347.CH (Hua Hong-A)	O	CNY	276.99	370.00	263.3%	USD	0.03	0.14	0.20	N/M	N/M	N/M
OLD								0.13	0.19			
ASIAx			1,941.23									

ESTIMATE CHANGE IN BOLD

O - Outperform, M - Market-Perform, U - Underperform, NR - Not Rated, CS - Coverage Suspended

Source: Bloomberg, Bernstein estimates and analysis.

DISCLOSURE APPENDIX

I. REQUIRED DISCLOSURES

References to "Bernstein" or the "Firm" in these disclosures relate to the following entities: Bernstein Institutional Services LLC (April 1, 2024 onwards), Sanford C. Bernstein & Co., LLC (pre April 1, 2024), Bernstein Autonomous LLP, BSG France S.A. (April 1, 2024 onwards), Sanford C. Bernstein (Hong Kong) Limited 盛博香港有限公司, Sanford C. Bernstein (Canada) Limited, Sanford C. Bernstein (India) Private Limited (SEBI registration no. INH000006378), Sanford C. Bernstein (Singapore) Private Limited, Sanford C. Bernstein Japan KK (サンフォード・C・バーンスタイン株式会社) and analysts employed by Société Générale Africa Technologies & Services to produce Bernstein research under a Global Services Agreement in place between Bernstein and Société Générale.

Bernstein is part of a joint venture between Société Générale (SG) and AllianceBernstein, L.P. (AB). Unless specifically noted otherwise, for purposes of these disclosures, references to Bernstein's "affiliates" relate to both SG and AB and their respective affiliates.

VALUATION METHODOLOGY**Hua Hong Semiconductor Ltd**

We value Hua Hong with H-share PT HKD 220 and A-share PT CNY 370, based on average NTM+1 BVPS of 4.40 USD, and 6.4x P/B with 1.8x A-H premium

RISKS**Hua Hong Semiconductor Ltd**

Downside risks:

- The matured node foundry demand recovery in China is weaker than expected due to sluggish macro, leading to lower UT than expected.
- Faster-than-expected capacity expansion from competitors would lead to supply/demand imbalance and lower than expected ASP.
- The impact of high depreciation, low GM and low ROE could lead to investor sentiment being worse than expected, slowing P/B multiple expansion.

RATINGS DEFINITIONS, BENCHMARKS AND DISTRIBUTION**EQUITY RATINGS DEFINITIONS****Bernstein brand**

The Bernstein brand rates stocks based on forecasts of relative performance for the next 12 months versus the S&P 500 for stocks listed on the U.S. and Canadian exchanges, versus the Bloomberg Europe Developed Markets Large and Mid Cap Price Return Index EUR (EDME) for stocks listed on the European exchanges and emerging markets exchanges outside of the Asia Pacific region, versus the Bloomberg Japan Large and Mid Cap Price Return Index USD (JPL) for stocks listed on the Japanese exchanges, and versus the Bloomberg Asia ex-Japan Large and Mid Cap Price Return Index (ASIAAX) for stocks listed on the Asian (ex-Japan) exchanges -unless otherwise specified.

The Bernstein brand has three categories of ratings:

- Outperform: Stock will outpace the market index by more than 15 pp
- Market-Perform: Stock will perform in line with the market index to within +/- 15 pp
- Underperform: Stock will trail the performance of the market index by more than 15 pp

Coverage Suspended: Coverage of a company under the Bernstein research brand has been suspended. Ratings and price targets are suspended temporarily, are no longer current, and should therefore not be relied upon.

Not Rated: A rating assigned when the stock cannot be accurately valued, or the performance of the company accurately predicted, at the present time. The covering analyst may continue to publish research reports on the company to update investors on events and developments.

Not Covered (NC) denotes companies that are not under coverage.

Bernstein brand stock ratings are based on a 12-month time horizon.

Autonomous brand – common stocks

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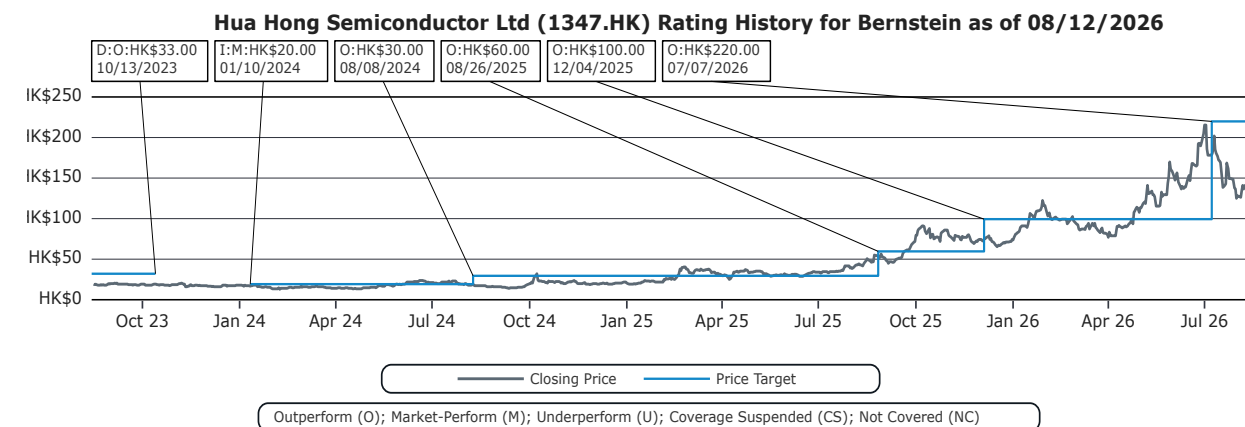
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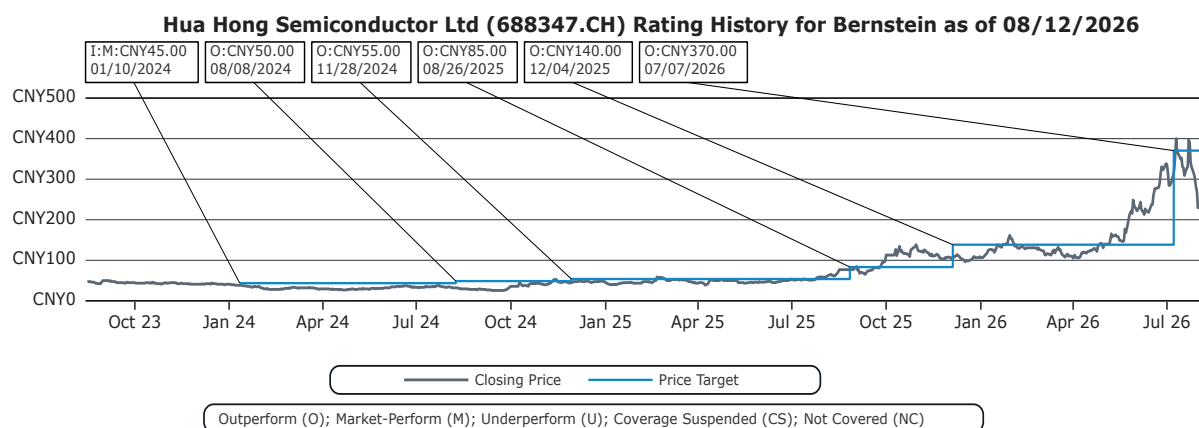
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